

Climate Shocks and the Credit Market: A Monetary Policy Transmission Lens

Tichinashe Mabugu* Xolani Sibande†

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*Corresponding Author. Economic Research Department, South African Reserve Bank; Email: xolani.sibande@resbank.co.za

†Economic Research Department, South African Reserve Bank; Email: tichinashe.mabugu@resbank.co.za.

1 Introduction

According to Bernanke and Gertler (1995), the credit channel is one of the key monetary policy transmission channels. Monetary policy affects the credit channel through its impact on the external finance premium ¹. Two linkages underscore monetary policy impacts on this premium: the balance sheet and the bank lending channel. The balance sheet channel stems from dynamics in the balance sheet and the incomes of borrowers, while the lending channel deals with how interest rates could impact lenders' loan supply volumes (Hall, 2001). The balance sheet channel has been well established as a significant monetary policy transmission channel (Aysun and Hepp, 2013; Altavilla et al., 2024; Ashcraft and Campello, 2007). Notwithstanding, there remains room to provide empirical estimations of the credit channel's strength due to recent developments in the identification of monetary policy shocks. This is especially true for emerging economies where this work is scant (Pirozhkova and Viegi, 2025). This paper hones in on the balance sheet channel by estimating how climate shocks can reduce (or indeed enhance) the effectiveness of unanticipated monetary policy decisions on the behaviour of borrowers.

The main motivation of this paper is that like monetary policy shocks, climate shocks – because of their impacts on capital and labour inputs and, in turn, their erosion of firm profitability – can cause frictions within the credit market and have consequential financial stability ramifications (Dafermos et al., 2018; Aglietta and Espagne, 2016). In so doing, climate shocks could widen the external finance premium and, in turn, stymie the efficacy of monetary policy pass-through. While this seems a likely course, there is also the potential for monetary policy to mute the deleterious climate shock effects on the credit market, in line with the literature that studies how monetary policy can be used as a tool to tackle climate change (Roy, 2024; Monasterolo and Raberto, 2018). In either case, climate shocks play a role in the functioning of the credit market and, consequently, the credit market monetary transmission channel.

I will investigate to what extent the manifestation of climate shocks act as a credit market

¹The external finance premium is governed by credit-market frictions which cause departures from lenders expected return and potential borrowers' expected costs.

friction and how this (potential) friction impacts monetary policy transmission. This involves three parts. First, I will compute the monetary policy shock variable. Second, I will estimate the causal relationships of interest in this work using a panel regression. Finally, I will use a quantile regression procedure to nuance these results.

2 Literature review

3 Data and methodology

We use a monetary policy shock, rather than the monetary policy rate itself, as an indicator for monetary policy to ensure exogeneity within the regression framework (Miyajima, 2024). To this end, I replicate a shock variable devised by Merrino (2021) for the South African case based on a simplification of the work of Romer and Romer (2004) as follows:

$$\Delta r_t = \alpha + \tilde{r}_t + \sum_{t=0}^2 \beta_t \Delta \tilde{y}_t + \sum_{t=0}^2 \delta_t \tilde{\pi}_t + \varepsilon_t, \quad (1)$$

where Δr_t is the change in the forecast of the repurchase rate, $\tilde{r}_t$ is the forecasted repo rate in levels, $\tilde{y}_t$ is the forecasted real GDP growth rate, and $\tilde{\pi}_t$ is the forecasted consumer price index inflation rate. The residuals from Equation 1, ε_t , are used as the MPShock_t explanatory variable that follows in the panel regression estimation. We use a panel regression to primarily test whether monetary policy shocks, when augmented with climate shocks, yield heightened or muted impacts on the credit market as follows:

$$\text{Credit}_{i,t} = \beta_0 + \beta_1 \text{Climate}_t^k + \beta_2 \text{MPShock}_t + \beta_3 (\text{Climate}_t^k \times \text{MPShock}_t) + \Gamma X_t + \gamma_s + \delta_t + \varepsilon_{i,t}, \quad (2)$$

where $\text{Credit}_{i,t}$ is the growth rate of credit extended to agent (s) (households or corporates) at time (t), Climate_t^k is the climate shock variable, including temperature and precipitation shocks, as well as extreme wet and dry events, which are each denoted by k . The $\text{Climate}_t^k \times \text{MPShock}_t$ term tests whether the frictions introduced by climate change shocks are significant enough to

modify the pass-through of monetary policy through the credit channel. X_t is a vector of control variables that includes GDP growth, the US Dollar-Rand exchange rate, the loan-to-deposit ratio and the unemployment rate. γ_s are agent, time-invariant fixed effects, δ_t are time fixed effects, and $\varepsilon_{i,t}$ is the error term.

4 Results

Table 1: Descriptive statistics

	Variable	Mean	Median	SD	Min	Max	N
Monetary Policy	Central Bank Information	-1.64	-0.42	5.69	-17.14	11.19	192
	Country Risk	0.64	0.47	3.38	-5.47	12.50	192
	Forward Guidance	-0.25	-0.47	6.93	-23.32	21.24	192
	Miyajima Surprise	-0.00	0.01	0.26	-0.77	0.91	208
	Romer Surprise	0.06	0.06	0.41	-1.04	1.53	204
	Target	3.12	0.64	13.46	-18.78	44.70	192
Corporate Credit	Corporate Mortgage Rate	8.43	9.07	2.04	4.06	11.35	212
	Corporate Mortgages	74.39	75.79	6.99	24.93	77.82	212
	Corporate Secured Credit	71.57	72.62	6.62	24.16	74.80	212
	Corporate Secured Credit Rate	9.91	9.99	1.36	3.30	12.06	212
	Corporate Unsecured Credit	76.25	77.16	7.01	25.81	79.22	212
	Corporate Unsecured Credit Rate	8.71	8.62	1.74	5.95	12.59	212
Household Credit	Household Mortgage Rate	9.30	9.75	1.41	6.56	11.67	212
	Household Mortgages	77.38	78.22	7.16	26.14	80.28	212
	Household Secured Credit	73.94	75.28	6.87	24.99	77.44	212
	Household Secured Credit Rate	11.28	11.35	1.42	7.09	14.11	212
	Household Unsecured Credit	73.93	75.12	6.86	24.58	76.35	212
	Household Unsecured Credit Rate	14.52	14.54	1.96	10.22	18.37	212
Climate	Land Precipitation Shock	-0.25	-0.26	1.10	-3.20	2.12	204
	Land Temperature Shock	0.21	0.24	0.15	-0.10	0.60	204
	Population Precipitation Shock	-0.16	-0.16	1.16	-2.99	3.37	204
	Population Temperature Shock	0.23	0.25	0.15	-0.07	0.61	204

5 Conclusion

References

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A Appendix

A.1 Data

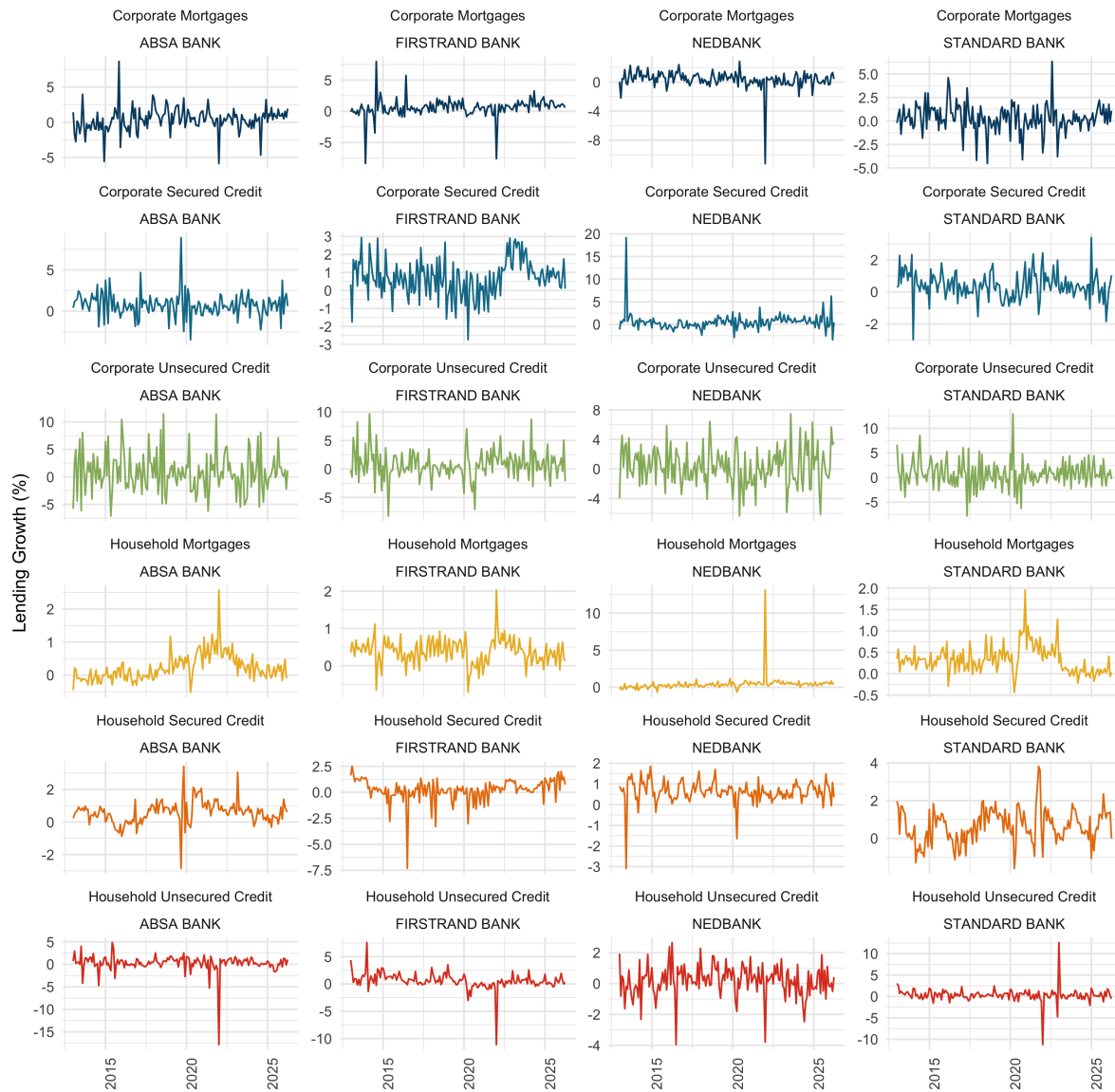


Figure A1: Lending volume growth over time

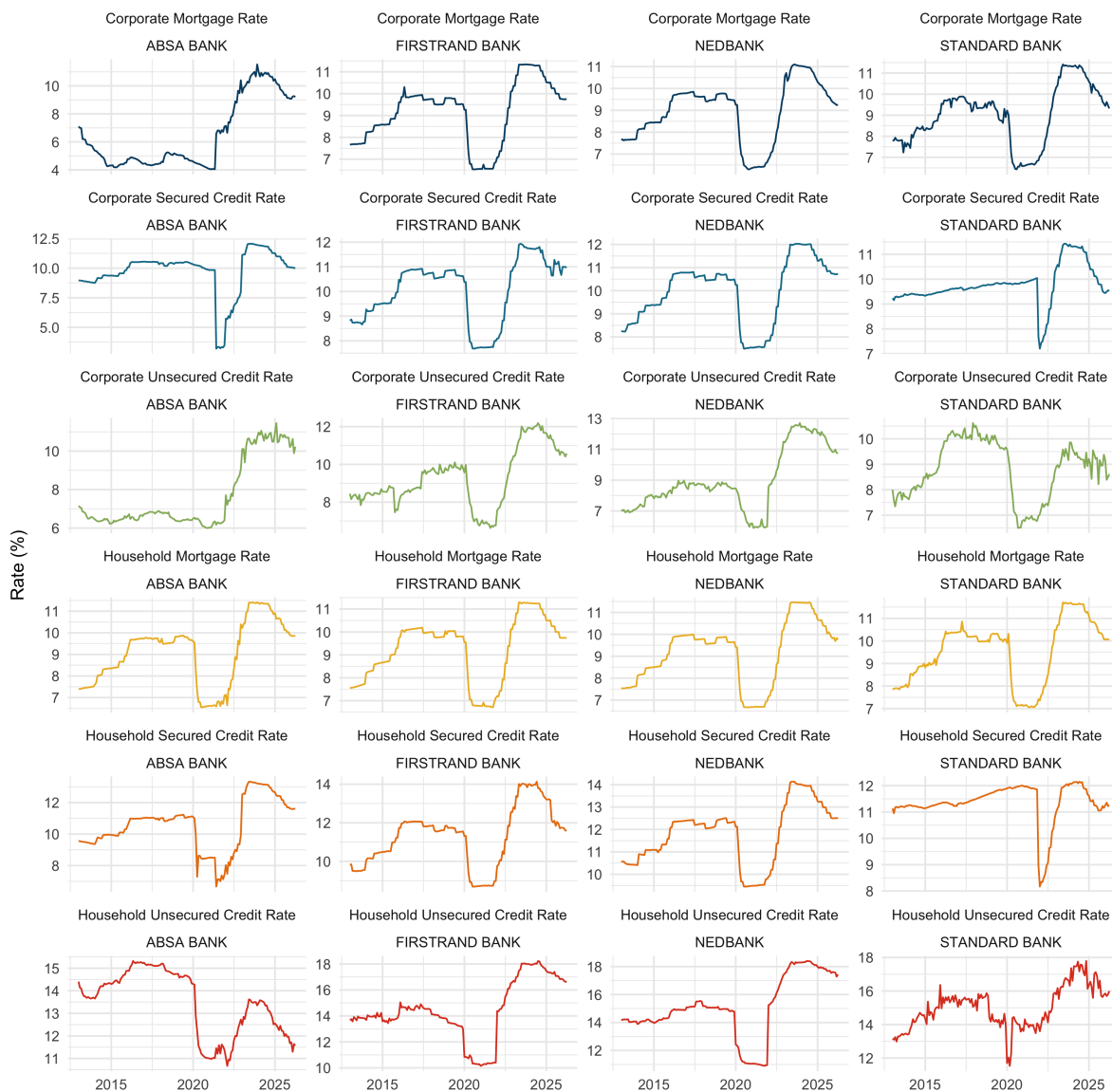


Figure A2: Lending rates overtime

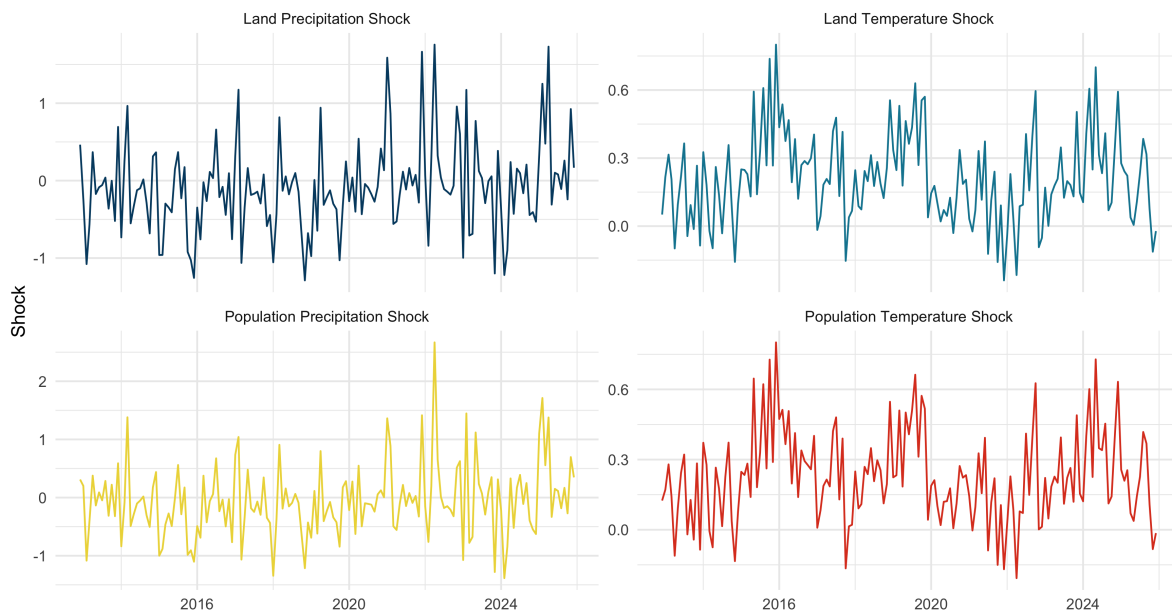


Figure A3: Climate Shocks Data

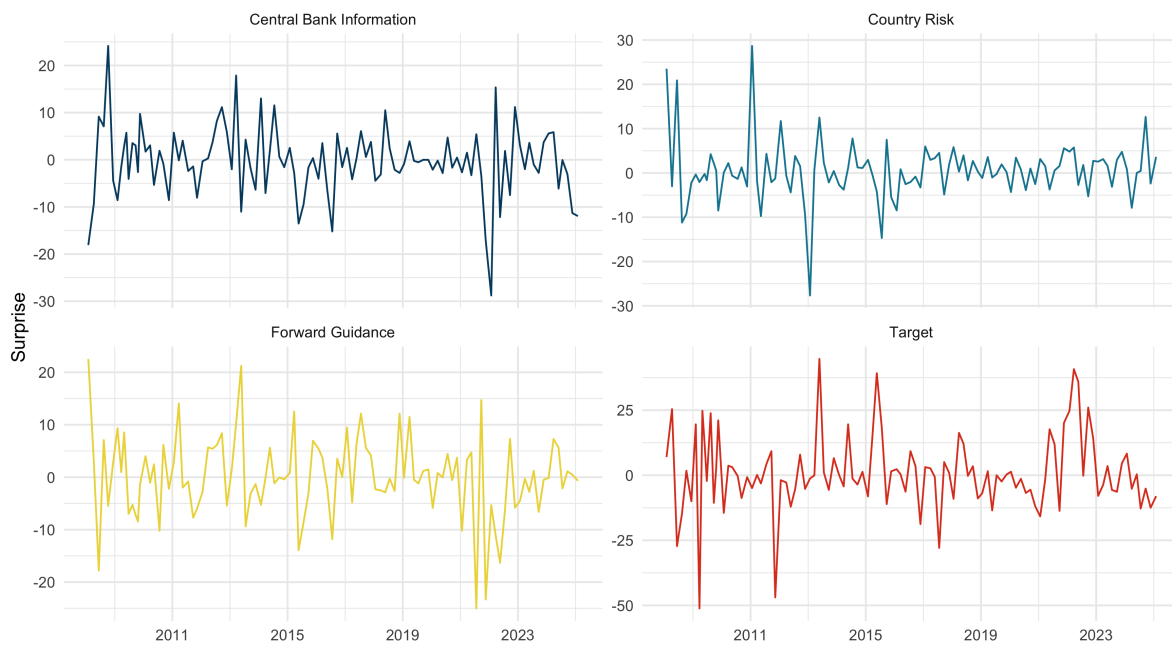


Figure A4: Market-Based Surprises Data

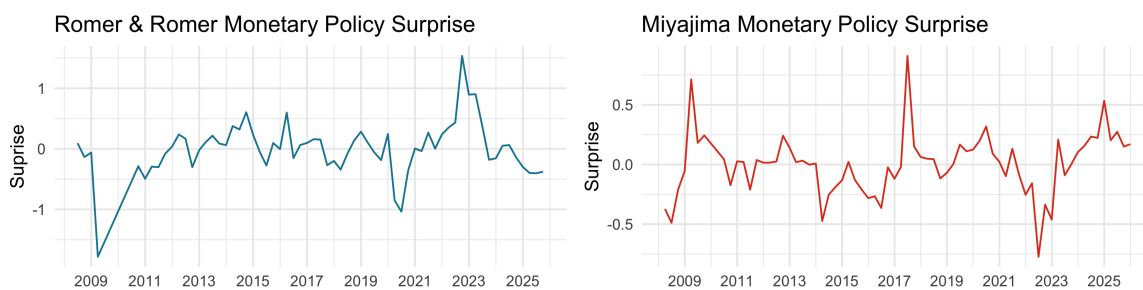


Figure A5: Theory-based surprises data